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BUSINESS

Food Infused With Cannabis Extract Takes a Hit

CBD is now used in a prescription drug, putting it off limits for food and drinks under federal law

By Denise Roland

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A derivative of the marijuana plant known as CBD is surging in popularity as an ingredient in food and drinks, but the fledgling industry faces an unusual complication: CBD, or cannabidiol, is now also a prescription drug.

Epidiolex, an epilepsy drug whose active ingredient is CBD, went on sale in November. Since then, local health inspectors across the U.S. have cracked down on restaurants, cafes and bars that feature CBD on their menus, citing a federal law that bans the use of government-approved medicines in food and drink products.

"They're taking away something that's actually helping people," said Dorothy Stepnowska, owner of the Flower Power Coffee House in New York, which serves CBD-infused coffee, tea and snacks. She says customers consume her products to help with problems ranging from anxiety to high blood sugar.

City health officials recently told Ms. Stepnowska that her products are illegal and warned they would start fining sellers of CBD edibles in October. The city health department said its action was prompted by a statement from the Food and Drug Administration in December stressing that it is illegal to add pharmaceutical drug ingredients to food.

Enforcement is patchy. Inspectors in several other states—including Ohio, Maine, North Carolina, Georgia and Michigan—are issuing similar warnings. Some point to the FDA statement, while others say their action was spurred by a wave of consumer queries.

There has also been pushback. New York City Council members earlier this month wrote to the city's health department opposing the action. In Maine, public opposition to the crackdown has prompted state lawmakers to debate emergency legislation aimed at legitimizing CBD edibles there.

At stake is a fast-growing market. Sales of CBD products in the U.S. more than tripled between 2014 and 2017, to $367 million, and are projected to hit $1.3 billion by 2022, according to New Frontier Data, a cannabis market intelligence company. It estimates that edibles account for around 40% of the market.

And it is moving into the mainstream. Bud brewer Anheuser-Busch InBev SA and other drinks groups are exploring cannabis-infused beverages, while Martha Stewart recently teamed up with a Canadian company to develop a line of CBD products. More than three-quarters of U.S. chefs in a National Restaurant Association survey named CBD as the top food trend going into 2019.

CBD's surge in popularity was sparked by a 2014 law that permitted states to study the growth, cultivation and marketing of hemp, a form of cannabis with very low levels of THC—the compound that causes a high. The law was interpreted as a green light to sell hemp-derived

CBD oils are for sale at the Flower Power Coffee House in New York. PHOTO: ERIN LEFEVRE FOR THE WALL STREET JOURNAL

CBD. Last year's farm bill extended those rights.

But the arrival of Epidiolex has created regulatory confusion. Natural compounds are rarely used as active ingredients in prescription drugs, and when they are—such as a fish-oil derivative in the prescription heart drug Vascepa—the active ingredient was often marketed as a food well before being investigated as a drug, exempting it from the rule. By contrast, CBD's rise occurred as Epidiolex maker GW Pharmaceuticals PLC was investigating its potential as an epilepsy treatment.

"This has caused the loss of a lot of sales," said Nic Balzer, whose company, Queen City Hemp, makes CBD-infused seltzers. In January, he started getting calls from retailers and distributors to say that the Ohio Agriculture Department had told them to stop selling the company's products.

The crackdown spurred Mr. Balzer to shift production across the river from Cincinnati to Covington, Ky., where officials aren't taking action. Queen City Hemp still sells online nationwide and in stores in more than 30 states.

"For me, it is unconstitutionally vague," Mr. Balzer said. He has hired lawyers to seek a court declaration that it isn't illegal to sell hemp-derived CBD oil in food and drinks in Ohio.

Dorothy Stepnowska pours CBD-infused coffee at the Flower Power Coffee House in New York. PHOTO: ERIN LEFEVRE FOR THE WALL STREET JOURNAL

An Ohio Department of Agriculture spokesman said the state's action focused on Queen City Hemp for allegedly selling a product "without the benefit of inspection," but other businesses say they've had other CBD products taken off their shelves. Mr. Balzer said the concerns related to his bottler, whose identity he wouldn't provide to the department unless they agreed to keep it confidential.

Departing FDA Commissioner Scott Gottlieb has acknowledged that regulation needs to accommodate CBD as a food ingredient, but warns there isn't a simple fix.

"This is not a straightforward process," he told a House subcommittee hearing last month. One possibility, he said, was for high-concentration CBD to be regulated as a pharmaceutical while

lower concentration versions could be viewed as food and dietary supplements. The FDA plans to hold a public hearing on CBD in the coming weeks, but changing the rules could take years.

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Epidiolex maker GW Pharmaceuticals says the FDA needs to make a clear distinction between approved medicine and food. “If they were regulated appropriately in their different ways, we would be receptive to that discussion,” said Chief Executive Justin Gover.

Yearslong regulatory change is “a far longer time horizon than we need,” said Eugene Morgulis, legal director at the National Association of Cannabis Businesses, an industry organization. “In the meantime, you’re going to see cannabis companies pushing the envelope a bit.”

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